PROPERTY LAW 1 LAW2102

SEMESTER 1, 2026

ASSIGNMENT 2 – DRAFTING OFFER AND ACCEPTANCE FOR SALE OF LAND, TRANSFER, CAVEAT, AND LETTER OF DEMAND

FACTUAL SCENARIO AND INSTRUCTIONS

After graduating from Nevermore Academy, Wednesday Addams decides to live a more 'normal' life. She decides to go and live in a very 'normal' suburb north of Perth, namely Joondalup, and buy a 'normal' house.

Wednesday purchases a nice neo-gothic style house built in the 90s on a green title situated at 9 Nightshade Street, Joondalup, Western Australia (not a real address). The asking price is $1,500,000.00 but she manages to negotiate the sale price down to $1,200,000.00 (with some help from Lurch, who drove her to the home open where negotiations took place and whose silent brooding presence was rather unnerving for the seller). She puts down a $120,000.00 deposit and proposes to seek finance for the rest from It Finance Ltd. Settlement is due to take place 28 days after signing the offer and acceptance by all parties.

The seller of 9 Nightshade Street is Gideon Sterling. Gideon appears as registered proprietor on the certificate of title for this property. There are no encumbrances on the certificate of title except a registered mortgage with Siren Loans Ltd as mortgagee and Gideon as mortgagor.

Wednesday wants the sale to be subject to finance, a white ant certificate, and a satisfactory building inspection. She also wants to make sure that the ducted air conditioning on the premises is in working order when she takes over as she likes the room temperature to be 'ice cold' even in the middle of winter. Wednesday also wants to include some of the items in the house, but is unsure whether they are fixtures. These items include:

- Some beautiful pitch-black velvet curtains in the loungeroom.
- A gothic looking huge chandelier in the dining room.
- A gargoyle water fountain in the back garden. (The fountain is made of marble and rests by its own weight in the back garden. However, it is connected to mains water through pipes that run under the surface of the backyard and connect to the fountain by screw-in fittings on the fountain's underside.)

The transfer is fairly straightforward with Gideon being the transferor and Wednesday being the transferee.

However, just before signing the contract of sale, Wednesday learns of another interested buyer who is willing to offer the original asking price of $1,500,000.00. She is concerned that Gideon will make an agreement with this person after signing her agreement and surreptitiously transfer the property to that person before it can be transferred to her. Wednesday has received no indication from Gideon that he does not wish to proceed with the agreement with her but suspects he might just sign an agreement with her as 'insurance' in case the other agreement doesn't go through. She instructs you lodge a caveat as soon as she lets you know she has signed the offer and acceptance.

As it turns out, however, Wednesday's suspicions were warranted. She has now learned that Gideon signed a contract to sell the property to the interested party after he signed the contract with her. What's more, after peeking over the backyard fence (a task made easy by sitting on Lurch's shoulders), Wednesday notes that the gargoyle fountain is missing. Further, from what she sees of (and through) the windows, the black velvet curtains are gone as is the gothic chandelier.

Your task is to draft an offer and acceptance and transfer reflecting the above transaction as well as a caveat to protect Wednesday's interest in the property. You will also be required to draft a default notice after settlement falls through demanding that Gideon fulfill his agreement with Wednesday and complete the sale within 14 days and, if he does not, Wednesday will either affirm the contract and seek specific performance of the contract or accept Gideon's repudiation of the contract and terminate it and seek damages.

You will need to make up things necessary to draw up a valid offer and acceptance, transfer, caveat, and default notice such as full names and addresses and title details to the property. Of course, do not make up details that will change the nature of the transaction (eg a different purchase price or conditions that are not contained in the above facts), only incidental matters that one would expect to see in these documents to make them complete and capable of being enforced and, where required to be lodged at Landgate, registrable. (You should use the REIWA standard form offer and acceptance available in the assignment instructions on Canvas and fill in the blanks, including adding any special conditions that you feel might be suitable. You should also use the transfer and caveat forms that are found in the assignment instructions on Canvas along with relevant Landgate links about completing these forms.)

9 Nightshade Street, Joondalup

Lurch's stoic presence 'helps' the negotiations along

The Gargoyle Fountain (the picture below is from The Cement Barn – and, yes, it appears you can buy one):